₹ 3. The directors forfeited the shares for nonpayment of call money. Give Journal entry for forfeiture of shares.

(Answer: Forfeited shares account: ₹ 7,000)

9. Lakshith was holding 50 shares of ₹ 10 each on which he paid ₹ 2 on application but could not pay ₹ 4 on allotment and ₹ 2 on first call. Directors forfeited the shares after the first call. Give journal entry for recording the forfeiture of shares.

(Answer: Forfeited shares account : ₹ 100)

Reissue of shares

10. Goutham Ltd. forfeited 500 equity shares of ₹ 10 each issued at par held by Ragav for nonpayment of the final call of ₹ 2 per share. The shares were forfeited and reissued to Madhan at ₹ 8 per share. Show the journal entries for forfeiture and reissue.

(Answer: Capital reserve account : ₹ 3,000)

11. Nivetha Ltd. forfeited 1,000 equity shares of ₹ 10 each for non payment of call of ₹ 4 per share. Of these 800 shares were reissued @ ₹ 7 per share. Pass journal entries for forfeiture and reissue.

(Answer: Capital reserve account : ₹ 2,400)

12. Nathiya Textiles Ltd. forfeited 100 shares of ₹ 10 each, ₹ 8 called up, on which Mayuri had paid application and allotment money of ₹ 6 per share. Of these 75 shares were re-issued to Soundarya by receiving ₹ 7 per share paid up as ₹ 8 per share. Pass journal entries for forfeiture and reissue.

(Answer: Capital reserve account : ₹ 375)

13. Simon Ltd issued 50,000 equity shares of ₹ 10 each at par payable on application ₹ 1 per share, on allotment ₹ 5 per share, on first call ₹ 2 per share and on second and final call ₹ 2 per share. The issue was fully subscribed and all the amounts were duly received with the exception of 2,000 shares held by Chezhian, who failed to pay the second and final call. His shares were forfeited and reissued to Elango at ₹ 8 per share. Journalise the above transactions.

(Answer: Capital reserve account: ₹ 12,000)

14. Kanchana Ltd. issued 50,000 equity shares of ₹ 10 each payable as under.

On application	₹ 1
On allotment	₹ 5
On first call	₹ 2
On second and final call	₹ 2

12th-Accountancy-Unit-07.indd 259 1/4/2020 12:16:49 PM